

It's funny. I was looking through my old brokerage statements this morning before you came in, and I was surprised to discover that the memory of my first trades had become distorted. I had been under the impression that my first 10 option trades all made money. However, what I found out in checking the brokerage statements was that it was actually my first 10 put trades that made money. But I had also been buying calls, and most of those trades lost money. I had conveniently forgotten that it was the long put positions that made money, not all the trades. Of course, we were in a down market at the time, so it wasn't surprising that the long put positions consistently made money. I now feel I need to go back to anyone I ever told that my first 10 trades were profitable and set the record straight. Up to that point, on balance, I had still done very well, because the put trades had made a lot of money. My starting \$2,500 account had more than quadrupled to over \$10,000. Then, on my 11th put trade, I lost more money than I made on the first 10 put trades combined.

What happened on the 11th put trade?

The market rallied sharply, so the puts expired worthless.

Since you were a buyer of puts, why would you have lost so much on one trade?

Because I kept on increasing my trade size as I made money.

So you blew it all on one trade?

Yeah.

Did that trade end your trading at the time?

No, I continued to trade, but I didn't do that well. That summer I tried daytrading. I got a whole real-time quote setup. My plan was to spend the summer staring at the trading screen. After about the third day of doing that, I realized, *This isn't me. This just doesn't work for me.*

Did you have any idea what you wanted to do when you were in college?

I wanted to trade. When I was a junior in college I competed in the AT&T investment challenge, which was a real-time trading contest for college students. There was a \$50 entry fee. I entered under my own name, and I